



ACRED GAMES SEASON 1 was the talk of the town when it came out. The eight-episode adaptation of Vikram Chandra's novel got Indian subscribers to sign up to Netflix. Content producers wanted to take their shows to Netflix and it seemed like the California-headquartered video streaming service had made its mark in India. That was 2018.

Cut to four years later and the global streaming giant is in need of a similar game-changer in India—one of the largest markets with scope to grow at scale, but also one that frustrates Founder and Co-CEO Reed Hastings. “In every other major market, we’ve got the flywheel spinning. It frustrates us that we haven’t been as successful in India yet,” he said during the Q4 earnings call in January, weeks after announcing an up to 60 per cent price cut across subscription plans in India. “But we’re definitely leaning in there,” he was quick to add.

The next earnings call over Q1 results, where revelations that it lost 200,000 subscribers glob-

ally, and expects to lose another 2 million in Q2, erased more than \$50 billion in investor wealth. However, it showed that Asia-Pacific had emerged as a bright spot. The region saw nearly 1.1 million subscriber additions, with the OTT service seeing “nice growth in a variety of markets including Japan, India, Philippines, Thailand and Taiwan”, according to its letter to shareholders.

Netflix doesn’t provide country-wise numbers. But even assuming that a chunk of the additions came from India, it still doesn’t take its estimated 5.5-million-strong subscriber base within touching distance of Disney+ Hotstar’s nearly 35 million or Amazon Prime Video’s 19.7 million (*see charts*), let alone Hastings’ stated goal of acquiring 100 million subscribers in India.

To be fair, Disney+ Hotstar and Amazon Prime also have cricket and shopping, respectively, to keep subscribers hooked. But despite Netflix slashing its subscription prices in India, its plans are among the most expensive in the country. Meanwhile, Amazon has raised its subscription price by 50 per cent.

“The kind of subscriber that comes in at the ₹199 plan has a different content consumption sensibility and preference compared to someone who comes in at ₹649. Netflix’s content is more suited for the ₹649 customer, but the pricing is significantly lower. Therefore, retention is a big challenge because they are not in a position to satisfy the content requirements of that customer,” says the head of an OTT service, on condition of anonymity. “They are unable to scale to the likes of what Disney+ Hotstar has done because of the kind of content they offer,” says Karan Taurani, Senior Vice President and Research Analyst at Elara Capital, which tracks the space.

But Uday Sodhi, Founding Partner of consulting firm Kurate Digital Consulting, doesn’t think India is tougher for Netflix than it is for

“IN EVERY OTHER MAJOR MARKET, WE’VE GOT THE FLYWHEEL SPINNING. IT FRUSTRATES US THAT WE HAVEN’T BEEN AS SUCCESSFUL IN INDIA YET”

REED HASTINGS
FOUNDER & CO-CEO, NETFLIX
(DURING AN EARNINGS CALL
IN JANUARY 2022)

PHOTO COURTESY NETFLIX